

Industrial Disputes - The Foundation Track

Chapter F2.3 — From Zero: The Settlement Machinery, Awards and Settlements, and Lay-off, Retrenchment and Closure

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NOTE · HOW TO USE THIS DOCUMENT

The largest and most heavily examined statute in this module. It contains the machinery by which industrial disputes are settled, the rules on awards and settlements, and the provisions on lay-off, retrenchment and closure with their compensation formulas. Three things in this chapter are near-certain examination material: the FIVE-STEP settlement ladder and which forum hears what, the compensation arithmetic (50 per cent for lay-off, 15 days per year for retrenchment), and the 100-versus-300 worker threshold which the Industrial Relations Code raised and which is among the most contested numbers in Indian labour policy. The 2023 paper took a question on the conclusion of conciliation proceedings, which Session 3 covers exactly. Study time 7 hours across six sessions.

This is the FOUNDATION layer. Old-Act and Code provisions are given as pairs throughout, because the 2023 paper was set under the parent Act and the 2026 paper is the first under the Code regime. Where the Code changed a threshold, both figures are printed.

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0. Why This Is the Most Examined Statute in the Module

The Industrial Disputes Act 1947 is where labour law becomes procedural. Almost every question from it is about a number, a forum, or a time limit.

PYQ CONNECTION · WHAT THIS CHAPTER IS WORTH

PYQ-DERIVED. The 2023 paper took **Q78** directly from this chapter - "which one of the following statements relating to conclusion of conciliation proceedings..." - and its provisions on **retrenchment, lay-off and closure** recur across papers because they contain hard numbers that can be tested unambiguously.

What makes this chapter unusually rewarding: the answers are **arithmetical or institutional**, never a matter of judgement. Either the threshold is 100 or it is 300. Either lay-off compensation is 50 per cent or it is not. There is no "which of these is the best interpretation" here. For a candidate building from scratch, that certainty is worth a great deal.

STUDY SESSION · CHAPTER F2.3 - THE SIX SESSIONS

- 1 **Session 1** - Why a special machinery was needed at all, and the Act's objects (Section 1)
- 2 **Session 2 - The five-step settlement ladder**, and how the IR Code redesigned it (Section 2)
- 3 **Session 3** - References, awards, settlements, and **the conclusion of conciliation proceedings** - the 2023 question (Section 3)
- 4 **Session 4 - Lay-off, retrenchment and closure:** the definitions, the conditions and the compensation arithmetic (Section 4)
- 5 **Session 5 - Chapter VB and the 100-versus-300 threshold** - the most politically contested number in Indian labour law (Section 5)
- 6 **Session 6** - Illegal strikes and lock-outs, unfair labour practices, and the Worker Re-skilling Fund (Section 6)

Then **45 graded questions**. Budget **seven sessions**, about **three and a half days**.

1. Session 1 - Why a Special Machinery Was Needed



Recall the third device from Chapter F2.1 - specialist forums instead of ordinary courts. This whole Act is that device, elaborated.

1.1 Why the civil courts could not do this work

Suppose a hundred workers are dismissed and claim reinstatement. Under ordinary law each would sue in a civil court for breach of contract. Consider what that means:

- 1 **Cost.** Each worker funds his own suit. A dismissed worker has no income
- 2 **Delay.** A civil suit and its appeals take years. The dispute needs settling this month
- 3 **Remedy.** A civil court awards **damages** for breach of contract. It does not ordinarily order **reinstatement** - and reinstatement is what the worker actually needs
- 4 **Individual, not collective.** A hundred separate suits, possibly a hundred different results, on identical facts
- 5 **Rights, not interests.** A civil court decides what the **existing contract** says. It cannot decide what the wage **ought to be** - and most industrial disputes are about future terms, not past breaches

JARGON DECODER · DISPUTES OF RIGHT AND DISPUTES OF INTEREST - THE DISTINCTION THAT EXPLAINS THE WHOLE ACT

- 1 A **dispute of right** asks: what does the existing contract, award or statute **entitle** the party to? Was this dismissal in breach of the standing orders? A court can answer this
- 2 A **dispute of interest** asks: what **should** the terms be from now on? Should wages rise? Should there be a bonus? **No court can answer this**, because there is no existing legal standard to apply

Ordinary courts handle disputes of **right** only. Industrial relations is dominated by disputes of **interest**. So the law had to create bodies that could do something courts cannot - **make new terms** rather than merely enforce old ones.

That is what an **award** of an Industrial Tribunal does. It is not a judgment declaring pre-existing rights; it **creates** the terms of employment going forward. This is why tribunals are said to exercise powers **wider than those of a civil court**, and it is the single most important conceptual point in this chapter.

FROM YOUR OWN WORLD · A SETTLEMENT IS A CONTRACT THE STATE HELPED WRITE - AND THE PARALLEL TO YOUR FUTURE WORK

In banking you know the difference between enforcing a loan agreement and restructuring it. Enforcement applies the existing document. Restructuring writes a new one, often with an outside party - a consortium, a resolution professional - shaping terms neither side would have reached alone. The Industrial Disputes Act is a **restructuring** statute far more than an enforcement statute. Conciliation officers, boards and tribunals exist to help the parties arrive at **new terms**, and where they cannot, to impose them.

Note the parallel to your own future function too. A **Section 7A** determination is a **dispute of right** - you decide what the Act and Scheme already require, on the evidence. You do **not** set a new contribution rate. Knowing that your own power is limited to rights, not interests, is part of understanding the boundaries of a quasi-judicial office.

1.2 The objects of the Act

- 1 To secure **industrial peace** by providing machinery for the **investigation and settlement** of disputes
- 2 To promote **collective bargaining**, and to encourage settlement by **agreement** rather than adjudication
- 3 To provide for **conciliation, arbitration and adjudication**, in that order of preference
- 4 To prevent **illegal strikes and lock-outs**
- 5 To provide **relief** to workers in the event of lay-off, retrenchment or closure
- 6 To protect workers against **victimisation and unfair labour practices**

CHECK YOURSELF · SESSION 1

- 1 Give five reasons why ordinary civil courts cannot settle industrial disputes
- 2 Distinguish a dispute of right from a dispute of interest, with an example of each
- 3 Why is an award said to be different in kind from a judgment?
- 4 Is a Section 7A determination a dispute of right or of interest? Why does that matter?
- 5 Name four objects of the Act

2. Session 2 - The Five-Step Settlement Ladder



Learn this as a ladder with five rungs, in order, each with its own composition, function and time limit. This is the most examined structure in the module.

2.1 The ladder under the Industrial Disputes Act, 1947

Rung	Body	Composition	Function and time limit
1	Works Committee (s.3)	Equal numbers of employer and workmen representatives	Required in establishments with 100 or more workmen. Promotes amity and good relations ; comments on matters of common interest. Recommendations are NOT binding - purely advisory
2	Conciliation Officer (s.4)	A single officer appointed by the appropriate Government	Mediates . Duty is to induce a settlement, not to decide. Report within 14 days of the commencement of conciliation proceedings. Conciliation is mandatory in a public utility service where notice of strike has been given
3	Board of Conciliation (s.5)	An independent chairman plus two or four members, in equal numbers nominated by the parties	Ad hoc, constituted for a particular dispute. Wider than a single officer. Report within two months
4	Court of Inquiry (s.6)	One independent person, or more, with a chairman if more than one	Inquires into matters connected with or relevant to a dispute. It does not settle - it investigates and reports. Report within six months
5	Labour Court (s.7) · Industrial Tribunal (s.7A) · National Tribunal (s.7B)	Labour Court - one presiding officer · Tribunal - one presiding officer, with assessors possible · National Tribunal - constituted by the Central Government	Adjudicate and make a binding award . The National Tribunal takes disputes involving a question of national importance or affecting establishments in more than one State

The five-step machinery under the 1947 Act - learn the composition, the function and the TIME LIMIT for each

MUST MASTER · LABOUR COURT VERSUS INDUSTRIAL TRIBUNAL - THE SECOND AND THIRD SCHEDULE DISTINCTION

This is the classic examination point, and the answer lies in two Schedules.

The Second Schedule - matters for a LABOUR COURT. These are essentially **disputes of right** about existing terms and discipline:

- 1 The propriety or legality of an **order passed by an employer** under the standing orders
- 2 The application and interpretation of **standing orders**
- 3 **Discharge or dismissal** of workmen, including reinstatement or grant of relief to workmen wrongfully dismissed
- 4 **Withdrawal of any customary concession or privilege**
- 5 **Illegality or otherwise of a strike or lock-out**
- 6 Matters other than those specified in the Third Schedule

The Third Schedule - matters for an INDUSTRIAL TRIBUNAL. These are the bigger, structural, **interest** questions:

- 1 **Wages**, including the period and mode of payment
- 2 **Compensatory and other allowances**
- 3 **Hours of work** and rest intervals
- 4 **Leave** with wages and holidays
- 5 **Bonus, profit sharing, provident fund and gratuity**
- 6 **Shift working** otherwise than in accordance with standing orders
- 7 **Classification by grades**
- 8 **Rules of discipline**
- 9 **Rationalisation**
- 10 **Retrenchment** of workmen and **closure** of establishment

The rule to remember: an **Industrial Tribunal can hear BOTH Schedules**; a **Labour Court can hear only the Second**. So the Tribunal is the wider forum.

And the memory hook: the **Second Schedule is about the individual worker and discipline** - dismissal, standing orders, a customary privilege. The **Third Schedule is about the whole workforce and money** - wages, bonus, provident fund, gratuity, retrenchment, closure. Individual and disciplinary goes to the Labour Court; collective and financial goes to the Tribunal.

2.2 Voluntary arbitration

Section 10A allows the parties, by **written agreement**, to refer a dispute to **arbitration** instead of to adjudication, at any time **before** the dispute has been referred to a Labour Court or Tribunal. The arbitrator's **award** is submitted to the appropriate Government and published.

IN PLAIN ENGLISH · WHY ARBITRATION SITS OUTSIDE THE LADDER

The ladder is **State-driven**: the Government appoints the conciliation officer, constitutes the board and makes the reference. Arbitration is **party-driven** - the parties choose their own arbitrator and their own terms of reference.

The Act **prefers** settlement by agreement, so it deliberately leaves this route open. In practice it has been little used in India, which is itself a stock examination observation.

2.3 How the IR Code 2020 redesigned the ladder - a major change

MUST MASTER · THE CODE CUT FIVE RUNGS DOWN TO THREE - AND THIS IS VERY LIKELY TO BE EXAMINED

The **Industrial Relations Code, 2020** simplified the machinery substantially. Learn what survived, what merged and what went.

Body under the 1947 Act	Under the IR Code	Note
Works Committee	Retained , at 100 or more workers	Unchanged threshold
Grievance Redressal Committee	Strengthened , at 20 or more workers, maximum 10 members	Individual grievances, with women's representation
Conciliation Officer	Retained	Still the first formal step
Board of Conciliation	Not carried forward	Conciliation now rests with the officer
Court of Inquiry	ABOLISHED	The purely investigative rung is gone
Labour Court	ABOLISHED as a separate forum	Merged into the Tribunal
Industrial Tribunal	Retained and restructured - now TWO members , a Judicial Member and an Administrative Member	The single most examinable change. It absorbs the Labour Court's jurisdiction, so one forum now hears both Schedules
National Tribunal	Retained as the National Industrial Tribunal	Also two members - one Judicial, one Administrative

State it in one sentence: the Code **abolished the Court of Inquiry and the Labour Court, dropped the Board of Conciliation, and replaced them with a single two-member Industrial Tribunal** comprising a Judicial Member and an Administrative Member.

Why it matters beyond the marks: the old design had five bodies and produced notorious delay, with disputes passing from rung to rung. The Code's premise is that fewer forums mean faster disposal. Whether it delivers is a fair interview question, and the honest answer is that the design is sound but depends on how many tribunals are actually constituted and staffed.

CHECK YOURSELF · SESSION 2

- 1 Name the five rungs of the 1947 ladder in order, with the threshold or composition of each
- 2 Give the report time limits for the Conciliation Officer, the Board of Conciliation and the Court of Inquiry
- 3 Which forum hears Second Schedule matters? Which hears both Schedules?
- 4 Place these correctly: dismissal of a workman, bonus, standing orders interpretation, provident fund, legality of a strike, closure
- 5 What is Section 10A, and why is it outside the ladder?
- 6 Which two bodies did the IR Code abolish, and what replaced them? Give the composition of the new Tribunal

3. Session 3 - References, Awards, Settlements and the End of Conciliation ★★★★★

Section 3.3 answers the 2023 question directly. But take the sequence in order, because the question only makes sense once you know what a conciliation proceeding is.

3.1 Reference

- 1 Under **Section 10** the **appropriate Government** may refer a dispute to a Board, Court of Inquiry, Labour Court or Tribunal. The power is **discretionary**, but a refusal must be for **reasons** and is subject to judicial review
- 2 Where the parties **jointly apply** for a reference, the Government **shall** make it, if satisfied the persons applying represent the majority of each party
- 3 The Government may **prohibit the continuance of a strike or lock-out** in connection with a dispute once it has been referred

3.2 Awards and settlements - the two ways a dispute ends

	Award	Settlement
What it is	A determination by a Labour Court, Tribunal or National Tribunal, including an interim determination, or an arbitration award	An agreement between employer and workmen
Who makes it	The adjudicator	The parties
Publication	Must be published by the appropriate Government within 30 days of receipt	A memorandum is signed and sent to the appropriate Government and the conciliation officer
When it takes effect	Enforceable on the expiry of 30 days from the date of publication	From the date agreed, or the date of signing
How long it binds	One year from the date it comes into operation, unless the Government fixes a shorter or longer period. Thereafter it continues until two months' notice of termination is given by a party bound by it	Similar - for the period agreed, and thereafter until two months' notice

Award versus settlement - different origins, different binding effect

MUST MASTER · WHO IS BOUND BY A SETTLEMENT - THE DISTINCTION THAT DECIDES QUESTIONS

This is the most examined point on settlements, and it turns on **where** the settlement was made.

- 1 A settlement arrived at **in the course of conciliation proceedings** binds **all parties to the industrial dispute** - and, importantly, **all persons who were employed in the establishment on the date of the dispute, and all persons who subsequently become employed** in it. So it binds **future workers** too
- 2 A settlement arrived at **otherwise than in the course of conciliation proceedings** - a private settlement - binds **only the parties to the agreement**

Why the difference? Because a conciliated settlement has passed through a State officer, who is expected to ensure it is fair and genuinely representative. That safeguard justifies extending its effect to people who never signed it. A private deal gets no such extension.

The exam formulation: a **conciliated settlement binds even future employees; a private settlement binds only the signatories.**

3.3 When do conciliation proceedings CONCLUDE - the 2023 question

MUST MASTER · THE THREE WAYS CONCILIATION PROCEEDINGS COME TO AN END

This was asked as **Q78 in 2023**. Conciliation proceedings are **deemed to have concluded**:

- 1 **Where a settlement is arrived at** - on the date the **memorandum of settlement is signed**
- 2 **Where no settlement is arrived at** - when the **report of the conciliation officer is received** by the appropriate Government, or, in the case of a Board, when the **Board's report is published**
- 3 **Where a reference is made** to a Court, Labour Court, Tribunal or National Tribunal **during the pendency of Board proceedings** - on the **date of that reference**

Why the date matters so much. It is not a formality. The prohibition on strikes and lock-outs runs **during conciliation proceedings and for seven days after their conclusion**. So the date of conclusion decides **whether a strike is legal or illegal** - and an illegal strike exposes workers to dismissal and to loss of wages.

The trap in the question. Note that where there is **no settlement**, the proceeding does not conclude when the officer **finishes** his efforts, nor when he **signs** his report - it concludes when the report is **received by the appropriate Government**. That is a receipt-based test, not a signature-based one, and it is precisely the distinction a well-set option will exploit.

3.4 Section 9A - notice of change

An employer who intends to effect any change in the **conditions of service** applicable to workmen in respect of any matter specified in the **Fourth Schedule** must give the workmen **21 days' notice**.

The Fourth Schedule matters include **wages, contribution to a provident fund or pension fund, compensatory allowances, hours of work and rest intervals, leave and holidays, starting or ceasing an alternative process, and rationalisation or other efficiency measures likely to lead to retrenchment**.

IN PLAIN ENGLISH · WHY SECTION 9A MATTERS TO A PROVIDENT FUND OFFICER

Look at the second item in that list - **contribution to a provident fund**. An employer cannot unilaterally alter provident fund arrangements affecting workmen's conditions of service without **21 days' notice** under Section 9A.

So if you encounter an employer who has reduced or restructured provident fund arrangements without notice, there is a Section 9A question alongside the EPF Act question. The two statutes overlap, and noticing the overlap is the kind of thing that distinguishes a competent officer.

CHECK YOURSELF · SESSION 3

- 1 Is the Government's power of reference under Section 10 mandatory or discretionary? When must it make a reference?
- 2 Give the publication and enforceability time limits for an award, and how long it binds
- 3 Who is bound by a conciliated settlement? Who by a private one? Explain the reason for the difference
- 4 State the three ways conciliation proceedings conclude
- 5 Where no settlement is reached, is it the signing or the receipt of the report that matters?
- 6 What notice does Section 9A require, and which Fourth Schedule item concerns you professionally?

4. Session 4 - Lay-off, Retrenchment and Closure



The definitions came in Chapter F2.2. Now the conditions and the money. This section contains arithmetic you must be able to do.

4.1 Continuous service - the gateway to every benefit

Before any of these provisions helps a worker, he must have **one year of continuous service**. And "continuous service" has a statutory meaning that is itself examined.

MUST MASTER · THE 240-DAY RULE

A workman is deemed to have completed **one year of continuous service** if, in the preceding twelve months, he has **actually worked** for not less than:

- 1 **240 days** in an ordinary establishment
- 2 **190 days** where he is employed **below ground in a mine**

And **six months** of continuous service requires:

- 1 **120 days** in an ordinary establishment
- 2 **95 days** below ground in a mine

Note the pattern: the mine figures are the ordinary figures **reduced**, reflecting that underground work is not performed on as many days. And **120 is exactly half of 240**, while **95 is exactly half of 190** - so you only need to remember **240 and 190** and halve them.

Days on which the workman was **laid off**, on **leave with full wages**, absent due to a **temporary disablement** caused by an accident arising out of employment, and, for a woman, on **maternity leave up to twelve weeks**, all **count** towards the total.

4.2 Lay-off - the employer cannot provide work

Lay-off means the failure, refusal or **inability** of an employer to give employment to a workman whose name is on the muster rolls and who has not been retrenched - by reason of **shortage of coal, power or raw materials, accumulation of stocks, breakdown of machinery, natural calamity** or any other connected reason.

Element	The rule
Who is entitled	A workman with one year of continuous service , whose name is on the muster rolls, in an establishment employing 50 or more workmen. Seasonal establishments are excluded
How much	Fifty per cent of the total of his basic wages and dearness allowance for the period of lay-off
For how long	Up to forty-five days in any period of twelve months
After 45 days	If lay-off continues beyond forty-five days, the employer may, subject to any agreement, retrench the workman
When it is NOT payable	Where the workman refuses alternative employment in the same or a nearby establishment at the same wages; where he does not present himself at the appointed time at least once a day; or where the lay-off is due to a strike or slowing down by workmen in another part of the establishment

Lay-off compensation - Chapter VA

WORKED EXAMPLE · LAY-OFF COMPENSATION COMPUTED

A workman with three years of continuous service in a factory employing 200 workmen is laid off for **60 days** because of a raw material shortage. His basic wages are **Rs 12,000** per month and dearness allowance **Rs 3,000** per month.

- 1 **Basic plus DA = Rs 15,000** per month. Take a month as 30 days, so **Rs 500 per day**
- 2 Compensation is **50 per cent** of basic plus DA, so **Rs 250 per day**
- 3 But it is payable for a maximum of **forty-five days** in twelve months
- 4 So compensation = **45 x Rs 250 = Rs 11,250**

For the remaining **15 days** no lay-off compensation is payable under Chapter VA, and the employer may instead choose to **retrench** the workman - in which case the retrenchment provisions in Section 4.3 apply, and the arithmetic changes entirely.

The examination trap: candidates multiply by 60 rather than capping at 45. The cap is the point of the question.

4.3 Retrenchment - the relationship ends

Recall the definition: termination for **any reason whatsoever other than as a punishment inflicted by way of disciplinary action** - and expressly **excluding** voluntary retirement, retirement on superannuation, non-renewal of a contract on its expiry, and termination on the ground of **continued ill-health**.

MUST MASTER · SECTION 25F - THE THREE CONDITIONS PRECEDENT TO A VALID RETRENCHMENT

A workman with **one year of continuous service** may not be retrenched unless:

- 1 He has been given **one month's notice in writing**, stating the **reasons** for retrenchment, and the notice period has expired - **or** he has been paid **wages in lieu of notice**
- 2 He has been paid **compensation equivalent to fifteen days' average pay for every completed year of continuous service**, or any part of a year **in excess of six months**
- 3 **Notice** in the prescribed manner has been served on the **appropriate Government** or the prescribed authority

These are **conditions precedent**. A retrenchment that does not satisfy them is **void**, and the workman is entitled to reinstatement. That is why the provision matters so much in practice.

Two associated rules always examined alongside:

- 1 **Section 25G - "last in, first out"**. Where workmen in a **particular category** are retrenched, the employer must ordinarily retrench the workman who was the **last person employed** in that category, unless he records **reasons** for departing from the rule
- 2 **Section 25H - re-employment**. Where an employer proposes to take persons into employment, he must give an **opportunity to retrenched workmen** to offer themselves for re-employment, and they have **preference** over other applicants

WORKED EXAMPLE · RETRENCHMENT COMPENSATION COMPUTED - INCLUDING THE PART-YEAR RULE

A workman is retrenched after **7 years and 8 months** of continuous service. His average pay is **Rs 18,000** per month.

- 1 **Completed years = 7.** The residual period is **8 months**, which is **in excess of six months**, so it counts as a further year. **Total = 8 years**
- 2 Compensation is **fifteen days' average pay** per year. Fifteen days' pay on a 30-day month = **Rs 9,000**
- 3 Compensation = **8 x Rs 9,000 = Rs 72,000**
- 4 **Plus** one month's notice, or **Rs 18,000** wages in lieu

Now change one fact. Suppose the service was **7 years and 5 months**. Five months is **not** in excess of six months, so it is **ignored**. Completed years = **7**. Compensation = **7 x 9,000 = Rs 63,000**.

The rule in one line: count completed years, then **add one more year only if the leftover exceeds six months**. A leftover of exactly six months does **not** qualify - the section says "in excess of six months".

4.4 Closure

Closure means the permanent closing down of a place of employment or part of it.

- 1 Under **Section 25FFF**, where an undertaking is closed down for any reason, every workman with **one year of continuous service** is entitled to notice and compensation **as if he had been retrenched** - that is, **fifteen days' average pay per completed year**
- 2 Where closure is due to circumstances **beyond the control of the employer**, compensation is limited to a maximum of **three months' average pay**
- 3 **Transfer of an undertaking** is dealt with by **Section 25FF**: the workman is entitled to notice and compensation as if retrenched, **unless** service is **uninterrupted** by the transfer, the **terms** are not less favourable, and the **new employer** is liable to pay compensation on the basis of unbroken service

MEMORY TECHNIQUE · THE THREE FFS - A GENUINELY USEFUL MNEMONIC

- 1 **25F - RETRENCHMENT** conditions. One F
- 2 **25FF - TRANSFER** of undertaking. Two Fs
- 3 **25FFF - CLOSURE** of undertaking. Three Fs

More Fs, more final. Retrenchment removes a worker; transfer changes the employer; closure ends the undertaking altogether. And in all three the compensation rate is the same **fifteen days per completed year** - only closure beyond the employer's control caps it at **three months**.

CHECK YOURSELF · SESSION 4

- 1 Give the four continuous-service figures. Which two do you actually need to memorise, and why?
- 2 Define lay-off and give three permitted causes
- 3 State the lay-off compensation rate, the maximum period, and three situations where it is not payable
- 4 Compute lay-off compensation for 50 days where basic plus DA is Rs 18,000 per month
- 5 State the three conditions precedent under Section 25F. What is the consequence of non-compliance?
- 6 Compute retrenchment compensation for 9 years 7 months' service at Rs 20,000 average pay. Then for 9 years 6 months
- 7 Explain 25F, 25FF and 25FFF and the mnemonic

5. Session 5 - Chapter VB and the 100-versus-300 Threshold ★★★★★

This is the most politically contested number in Indian labour law, and the Code changed it. Expect a question.

5.1 What Chapter VB does

Chapter VB of the 1947 Act imposes a much heavier requirement on **larger** establishments: not merely notice and compensation, but **prior permission of the appropriate Government**.

Section	Action	Requirement
25M	Lay-off	Prior permission of the appropriate Government, except in a mine where lay-off is due to fire, flood, excess of inflammable gas or explosion
25N	Retrenchment	Three months' notice, and prior permission of the appropriate Government
25O	Closure	Ninety days' notice and an application for prior permission . If the Government does not communicate a decision within sixty days , permission is deemed granted

Chapter VB - prior PERMISSION, not merely notice

Applicability. Chapter VB applies to an **industrial establishment** - a factory, mine or plantation - employing:

- 1 **One hundred or more** workmen, under the **Industrial Disputes Act, 1947**
- 2 **Three hundred or more** workers, under the **Industrial Relations Code, 2020**, with power in the appropriate Government to notify a **higher** number

MUST MASTER · THE 100 TO 300 CHANGE - WHAT TO SAY, AND HOW TO ANSWER EITHER WAY

Learn it as a pair: 100 under the old Act, 300 under the Code.

The argument for raising it, as advanced by the Government: the requirement of prior permission deterred firms from **growing past 100 workers**, because doing so meant they could never adjust their workforce without Government consent. Firms therefore stayed deliberately small, or relied on **contract labour**, which is worse for workers than direct employment. Raising the threshold to 300 is intended to encourage firms to **scale up and hire formally**.

The argument against: it removes the protection of prior scrutiny from a very large number of workers - establishments between 100 and 300 workers - leaving them with only notice and compensation.

How to answer in the exam. If the question cites the **Industrial Disputes Act, 1947**, the answer is **100**. If it cites the **IR Code** or "as amended", the answer is **300**. If the stem is bare, read for any mention of the Code.

How to answer in an interview. State the pair, state both arguments in one sentence each, and note that several States had already raised the threshold to 300 using their concurrent powers before the Code did so centrally - which is a good illustration of **labour being on the Concurrent List**, exactly as you learned in Chapter F1.1. That last observation is what will distinguish your answer.

BEGINNER MISTAKE · CHAPTER VA VERSUS CHAPTER VB - DO NOT CONFUSE THE TWO REGIMES

	Chapter VA	Chapter VB
Applies to	Establishments with 50 or more workmen	Industrial establishments - factory, mine, plantation - with 100 or more (old Act) or 300 or more (Code)
What is required	Notice and compensation	PRIOR PERMISSION of the appropriate Government, plus longer notice
Retrenchment notice	One month	Three months
Closure notice	Sixty days under s.25FFA	Ninety days , with permission

The essential contrast in one line: Chapter VA says **pay and proceed**; Chapter VB says **ask permission first**.

CHECK YOURSELF · SESSION 5

- 1 What does Chapter VB require that Chapter VA does not?
- 2 Give the thresholds for Chapter VA and for Chapter VB under both the old Act and the Code
- 3 State the notice periods for retrenchment and closure under Chapter VB
- 4 What happens if the Government does not decide a closure application within sixty days?
- 5 Give one argument for and one against raising the threshold to 300
- 6 Why could some States raise the threshold before the Code did? Which chapter of this manual explains that?

6. Session 6 - Illegality, Unfair Practices and the Re-skilling Fund ★★★★★

6.1 Illegal strikes and lock-outs

A strike or lock-out is **illegal** if it is commenced or continued:

- 1 In **contravention** of the statutory notice or prohibition provisions - the periods you learned in Chapter F2.2
- 2 In contravention of an **order** of the appropriate Government prohibiting continuance
- 3 During the pendency of **conciliation or adjudication** proceedings and the specified period after

Two refinements that get asked:

- A strike declared **in consequence of an illegal lock-out** is **not** illegal, and a lock-out declared in consequence of an illegal strike is not illegal. The party responding to the other's illegality is not itself penalised
- **Financial aid** to an illegal strike or lock-out is itself an offence

6.2 Unfair labour practices

Listed in the **Fifth Schedule** of the 1947 Act, and prohibited by **Section 25T**, with penalty under **Section 25U**. The list covers practices on **both sides**, which is a point candidates miss.

- 1 **On the employer's part** - interfering with the formation of a union, threatening workmen with dismissal for union activity, establishing an employer-sponsored union, discharging a workman for union activity or for giving evidence, **victimisation**, recruiting workmen during a legal strike, and **employing workmen as "badlis", casuals or temporaries for years with the object of depriving them of permanent status**
- 2 **On the workmen's or union's part** - advising or supporting an **illegal strike**, coercing workmen against joining a union, **gherao** of managerial staff, wilful damage to employer's property, and refusal to bargain collectively in good faith

6.3 The Worker Re-skilling Fund - new under the Code

MUST MASTER · THE WORKER RE-SKILLING FUND - A NEW PROVISION, THEREFORE A LIKELY QUESTION

The **IR Code 2020** creates a **Worker Re-skilling Fund**. Learn the three numbers:

- 1 The employer contributes an amount equal to **fifteen days' wages** last drawn by the worker immediately before **retrenchment**
- 2 The contribution must be **credited to the Fund within ten days** of the retrenchment
- 3 The amount is to be **paid to the retrenched worker's account within forty-five days** of retrenchment

Note carefully what this is not. It is **in addition to** retrenchment compensation, not a substitute for it. So a retrenched worker now receives **fifteen days per completed year** as compensation **plus** a further **fifteen days' wages** into the re-skilling fund.

The policy idea: retrenchment compensation addresses the **past** - it pays for service already given. Re-skilling addresses the **future** - it funds the worker's transition to new employment. That distinction is the answer if you are asked why a separate fund was needed.

CHECK YOURSELF · SESSION 6

- 1 Give three circumstances in which a strike is illegal
- 2 Is a strike in consequence of an illegal lock-out illegal? Why does that rule exist?
- 3 Which Schedule lists unfair labour practices? Name three on the employer's side and two on the workers' side
- 4 What is the practice of keeping workers as casuals for years called, and why is it an unfair labour practice?
- 5 Give the three numbers of the Worker Re-skilling Fund, and say whether it replaces retrenchment compensation

7. Graded Practice - 45 Questions ★★★★★

7.1 Level 1 - Recognition

Q. 1. A Works Committee is required in an industrial establishment employing

(a) 20 or more workmen (b) 50 or more workmen (c) 100 or more workmen (d) 300 or more workmen

Q. 2. The recommendations of a Works Committee are

(a) binding on the employer (b) binding on the workmen only (c) advisory and not binding (d) binding once published

Q. 3. A Conciliation Officer must submit his report within

(a) 7 days (b) 14 days (c) 30 days (d) two months

Q. 4. A Board of Conciliation must submit its report within

(a) 14 days (b) one month (c) two months (d) six months

Q. 5. A Court of Inquiry must submit its report within

(a) two months (b) three months (c) six months (d) one year

Q. 6. Matters within the jurisdiction of a Labour Court are listed in the

(a) First Schedule (b) Second Schedule (c) Third Schedule (d) Fifth Schedule

Q. 7. Wages, bonus, provident fund and gratuity are matters listed in the

(a) Second Schedule (b) Third Schedule (c) Fourth Schedule (d) Fifth Schedule

Q. 8. An award becomes enforceable on the expiry of

(a) 15 days from publication (b) 30 days from publication (c) 60 days from publication (d) the date of publication

Q. 9. An award ordinarily remains in operation for

(a) six months (b) one year (c) two years (d) three years

Q. 10. Lay-off compensation is payable at

(a) 25 per cent of basic wages and dearness allowance (b) 50 per cent of basic wages and dearness allowance (c) 75 per cent of basic wages and dearness allowance (d) 100 per cent of basic wages

Q. 11. Lay-off compensation is payable for a maximum of

(a) 30 days in a year (b) 45 days in a year (c) 60 days in a year (d) 90 days in a year

Q. 12. Retrenchment compensation is

(a) 7 days' average pay per completed year (b) 15 days' average pay per completed year (c) 21 days' average pay per completed year (d) one month's average pay per completed year

Q. 13. For one year of continuous service a workman must have actually worked for not less than

(a) 190 days (b) 210 days (c) 240 days (d) 300 days

Q. 14. Chapter VB of the Industrial Disputes Act, 1947 applies to industrial establishments employing

(a) 50 or more workmen (b) 100 or more workmen (c) 200 or more workmen (d) 300 or more workmen

Q. 15. Under the Industrial Relations Code, 2020, the threshold for prior permission for lay-off, retrenchment and closure is

- (a) 100 workers (b) 200 workers (c) 300 workers (d) 500 workers

Q. 16. Unfair labour practices are listed in the

- (a) Second Schedule (b) Third Schedule (c) Fourth Schedule (d) Fifth Schedule

Q. 17. Notice of change in conditions of service under Section 9A must be given

- (a) 14 days in advance (b) 21 days in advance (c) 30 days in advance (d) 60 days in advance

Q. 18. The Worker Re-skilling Fund contribution by the employer is

- (a) 7 days' wages (b) 15 days' wages (c) one month's wages (d) 45 days' wages

7.2 Level 2 - Understanding

Q. 19. A dispute about what future wages ought to be is

- (a) a dispute of right, which a civil court can decide (b) a dispute of interest, which an ordinary court cannot decide (c) not an industrial dispute at all (d) a dispute of right, which only a Labour Court can decide

Q. 20. An award differs from a judgment principally in that an award

- (a) is not binding (b) can create new terms of employment rather than merely enforce existing rights (c) is not published (d) cannot be challenged

Q. 21. Which forum can hear matters listed in both the Second and Third Schedules?

- (a) Labour Court (b) Industrial Tribunal (c) Board of Conciliation (d) Court of Inquiry

Q. 22. Which one of the following is a Second Schedule matter?

- (a) Bonus (b) Rationalisation (c) Discharge or dismissal of a workman (d) Hours of work

Q. 23. Under the Industrial Relations Code, 2020, the Industrial Tribunal consists of

- (a) one presiding officer (b) a Judicial Member and an Administrative Member (c) three members including a chairman (d) a chairman and two assessors

Q. 24. Which of the following did the Industrial Relations Code, 2020 abolish?

- (a) The Works Committee and the Conciliation Officer (b) The Court of Inquiry and the Labour Court (c) The Industrial Tribunal and the National Tribunal (d) The Grievance Redressal Committee

Q. 25. A settlement arrived at in the course of conciliation proceedings binds

- (a) only the signatories (b) only workmen employed on the date of the settlement (c) all parties to the dispute, all persons employed on the date of the dispute, and persons who subsequently become employed (d) the employer only

Q. 26. Where no settlement is arrived at, conciliation proceedings before a Conciliation Officer are deemed to conclude

- (a) when the officer completes his efforts (b) when the officer signs his report (c) when the report is received by the appropriate Government (d) 14 days after the proceedings commenced

Q. 27. Why does the date of conclusion of conciliation proceedings matter?

- (a) It fixes the date of the award (b) The prohibition on strikes runs during conciliation and for seven days afterwards, so the date decides whether a strike is legal (c) It determines the compensation payable (d) It fixes the limitation for an appeal

Q. 28. A workman with 5 years and 7 months of continuous service and average pay of Rs 24,000 per month is retrenched. His retrenchment compensation is

(a) Rs 60,000 (b) Rs 66,000 (c) Rs 72,000 (d) Rs 84,000

Q. 29. A workman with 6 years and 6 months of continuous service and average pay of Rs 20,000 is retrenched. His compensation is

(a) Rs 60,000 (b) Rs 65,000 (c) Rs 70,000 (d) Rs 75,000

Q. 30. A workman whose basic wages and dearness allowance total Rs 18,000 per month is laid off for 55 days. His lay-off compensation is

(a) Rs 13,500 (b) Rs 16,500 (c) Rs 27,000 (d) Rs 33,000

Q. 31. Under Section 25G, where workmen of a particular category are retrenched, the employer must ordinarily retrench

(a) the workman with the poorest performance record (b) the workman last employed in that category (c) the workman first employed in that category (d) any workman the employer chooses

Q. 32. Lay-off compensation is not payable where

(a) the lay-off exceeds 15 days (b) the workman refuses alternative employment at the same wages in the same or a nearby establishment (c) the establishment employs more than 100 workmen (d) the workman has more than 5 years' service

Q. 33. Section 25FF of the Industrial Disputes Act deals with

(a) retrenchment (b) transfer of an undertaking (c) closure of an undertaking (d) lay-off

Q. 34. Where closure is due to circumstances beyond the control of the employer, compensation is limited to

(a) one month's average pay (b) two months' average pay (c) three months' average pay (d) six months' average pay

Q. 35. A strike declared in consequence of an illegal lock-out is

(a) illegal (b) not illegal (c) illegal only in public utility services (d) illegal unless notice was given

Q. 36. Employing workmen as casuals or temporaries for years with the object of depriving them of permanent status is

(a) permissible if they consent (b) an unfair labour practice (c) permissible in establishments below 100 workmen (d) an offence only under the Contract Labour Act

7.3 Level 3 - Recruitment Test standard

Q. 37. Which one of the following statements relating to the conclusion of conciliation proceedings is not correct?

(a) Where a settlement is arrived at, proceedings conclude on the date the memorandum of settlement is signed (b) Where no settlement is arrived at before a Board, proceedings conclude when the Board's report is published (c) Where no settlement is arrived at before a Conciliation Officer, proceedings conclude on the date the officer signs his report (d) Where a reference is made to a Tribunal during the pendency of Board proceedings, proceedings conclude on the date of the reference

Q. 38. Match List-I with List-II and select the correct answer using the code below:

List-I (Section)	List-II (Subject)
A. Section 25F	1. Closure of an undertaking
B. Section 25FF	2. Re-employment of retrenched workmen
C. Section 25FFF	3. Conditions precedent to retrenchment
D. Section 25H	4. Transfer of an undertaking

(a) A-3 B-4 C-1 D-2 (b) A-3 B-1 C-4 D-2 (c) A-1 B-4 C-3 D-2 (d) A-3 B-4 C-2 D-1

Q. 39. Consider the following statements about Chapter VB:

- 1 It requires the prior permission of the appropriate Government for lay-off, retrenchment and closure.
- 2 It applies to industrial establishments employing 100 or more workmen under the 1947 Act and 300 or more under the IR Code.
- 3 Where the Government does not communicate its decision on a closure application within sixty days, permission is deemed to have been granted.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 40. Which one of the following would not amount to retrenchment?

(a) Termination of a workman on account of surplus staff (b) Termination on the ground of continued ill-health (c) Termination for reasons of reorganisation (d) Termination because a department is discontinued

Q. 41. Consider the following statements:

- 1 A workman must have one year of continuous service to claim retrenchment compensation.
- 2 240 days of actual work in the preceding twelve months constitutes one year of continuous service.
- 3 For a workman employed below ground in a mine the figure is 190 days.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 42. An establishment employing 150 workers retrenches a worker in 2026. Which one of the following is correct?

(a) Prior permission of the appropriate Government is required, since the establishment employs more than 100 workers (b) Prior permission is not required under the IR Code, the threshold now being 300 workers, but notice and compensation remain payable (c) Neither notice nor compensation is payable (d) Only three months' notice is required, without compensation

Q. 43. A workman is retrenched after 4 years of continuous service, his last drawn wages being Rs 30,000 per month. Under the IR Code, the total the employer must provide, comprising retrenchment compensation and the Worker Re-skilling Fund contribution, is

(a) Rs 60,000 (b) Rs 75,000 (c) Rs 90,000 (d) Rs 1,20,000

Q. 44. Which one of the following pairs is not correctly matched?

(a) Section 10A - voluntary arbitration (b) Section 9A - notice of change in conditions of service (c) Section 25G - last in, first out (d) Section 25T - unfair labour practices listed in the Second Schedule

Q. 45. Arrange the five bodies of the 1947 Act in the order in which the Act places them:

- 1 Court of Inquiry
- 2 Works Committee
- 3 Labour Court
- 4 Conciliation Officer
- 5 Board of Conciliation

(a) 2, 4, 5, 1, 3 (b) 2, 5, 4, 1, 3 (c) 4, 2, 5, 1, 3 (d) 2, 4, 1, 5, 3

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	c	100 or more - and the IR Code retained this threshold
2	c	Advisory only. A Works Committee promotes amity; it does not decide
3	b	14 days from commencement of conciliation proceedings
4	c	Two months
5	c	Six months. Note the ascending sequence: officer 14 days, Board 2 months, Court of Inquiry 6 months
6	b	Second Schedule - Labour Court matters
7	b	Third Schedule - the money and structural matters, for an Industrial Tribunal
8	b	30 days from publication. And it must be published within 30 days of receipt - two different 30-day periods
9	b	One year , then continues until two months' notice of termination
10	b	50 per cent of basic wages and dearness allowance
11	b	45 days in any period of twelve months
12	b	15 days' average pay per completed year
13	c	240 days; 190 below ground in a mine
14	b	100 or more under the 1947 Act
15	c	300 or more under the IR Code, with power to notify a higher figure
16	d	Fifth Schedule , prohibited by s.25T and penalised by s.25U
17	b	21 days , for Fourth Schedule matters
18	b	15 days' wages last drawn, credited within 10 days , paid to the worker within 45 days

8.2 Level 2

Q	Ans	Explanation
19	b	A dispute of interest - there is no existing legal standard for a court to apply, which is why adjudicating bodies with power to create terms were needed
20	b	An award can create new terms going forward. This is why a Tribunal's powers are described as wider than a civil court's

Q	Ans	Explanation
21	b	The Industrial Tribunal hears both Schedules; the Labour Court only the Second
22	c	Discharge or dismissal - individual and disciplinary, so Second Schedule. Bonus, rationalisation and hours of work are all Third Schedule
23	b	Two members - one Judicial, one Administrative. The most examinable structural change in the Code
24	b	The Court of Inquiry and the Labour Court . The Board of Conciliation was also not carried forward
25	c	A conciliated settlement binds even future employees , because a State officer has vouched for its fairness. A private settlement binds only signatories
26	c	When the report is RECEIVED by the appropriate Government - a receipt-based test, not signature-based. This is the trap
27	b	Because the strike prohibition runs during conciliation and seven days after, the date of conclusion decides legality
28	c	7 months exceeds six months, so 6 completed years. 15 days' pay on Rs 24,000 = Rs 12,000 . $6 \times 12,000 = \text{Rs } 72,000$
29	a	6 months is not "in excess of" six months, so it is ignored. 6 years $\times$ 15 days' pay (Rs 10,000) = Rs 60,000 . This is the sharpest trap in the chapter
30	a	Capped at 45 days . Rs 18,000 per month = Rs 600 per day; 50 per cent = Rs 300; $45 \times 300 = \text{Rs } 13,500$. Multiplying by 55 gives 16,500 and is the intended error
31	b	Last in, first out - the workman last employed in that category, unless reasons are recorded
32	b	Refusal of alternative employment at the same wages in the same or a nearby establishment. Also non-presentation once a day, and lay-off caused by a strike elsewhere in the establishment
33	b	Transfer of an undertaking. Remember: F retrenchment, FF transfer, FFF closure
34	c	Three months' average pay
35	b	Not illegal. A party responding to the other side's illegality is not itself penalised
36	b	An unfair labour practice under the Fifth Schedule. Consent is irrelevant - a statutory protection cannot be waived

8.3 Level 3

Q	Ans	Explanation
37	c	Before a Conciliation Officer where no settlement is reached, proceedings conclude when the report is RECEIVED by the appropriate Government , not when the officer signs it. The other three statements are correct. This is the 2023 question
38	a	A-3 25F conditions precedent to retrenchment; B-4 25FF transfer; C-1 25FFF closure; D-2 25H re-employment
39	d	All three correct , including the deemed permission after sixty days of Government silence on a closure application
40	b	Continued ill-health is expressly excluded from the definition of retrenchment, along with voluntary retirement, superannuation and non-renewal of a contract. The other three are retrenchment
41	d	All three correct - one year of continuous service, 240 days ordinarily, 190 days below ground in a mine

Q	Ans	Explanation
42	b	Under the IR Code the prior-permission threshold is 300 , so an establishment of 150 needs no permission - but notice and compensation under the general provisions remain payable . Option (a) applies the superseded figure
43	b	15 days' pay on Rs 30,000 = Rs 15,000 . Compensation = 4 x 15,000 = Rs 60,000 , plus the Re-skilling Fund's 15 days' wages = Rs 15,000 . Total Rs 75,000 - the Fund is in addition to , not instead of, compensation. Notice pay of Rs 30,000 is also due but was not what this stem asked for
44	d	Unfair labour practices are in the FIFTH Schedule, not the Second. The other three pairs are correct
45	a	Works Committee (s.3), Conciliation Officer (s.4), Board of Conciliation (s.5), Court of Inquiry (s.6), Labour Court (s.7) - the Act's own section order, which is also the ascending order of formality

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.3 - INDUSTRIAL DISPUTES

WHY A SPECIAL MACHINERY civil courts are slow, costly, individual, award **damages not reinstatement**, and can decide only **disputes of RIGHT** · industrial relations is dominated by **disputes of INTEREST** · an **award CREATES new terms**, a judgment only enforces old ones · a **Section 7A determination is a dispute of RIGHT**

THE FIVE-STEP LADDER (1947 Act) s.3 **Works Committee** - 100+ workmen, equal representation, **ADVISORY ONLY** · s.4 **Conciliation Officer** - report in **14 DAYS**, mandatory in **public utility** on strike notice · s.5 **Board of Conciliation** - independent chairman + **2 or 4** equal members, report in **2 MONTHS** · s.6 **Court of Inquiry** - investigates only, report in **6 MONTHS** · s.7 **Labour Court** · s.7A **Industrial Tribunal** · s.7B **National Tribunal** · s.10A **voluntary arbitration**, party-driven

SECOND vs THIRD SCHEDULE 2nd = **LABOUR COURT** - individual and disciplinary: standing orders, **discharge or dismissal**, withdrawal of customary concession, **legality of a strike or lock-out** · 3rd = **INDUSTRIAL TRIBUNAL** - collective and financial: **wages, bonus, PF, gratuity**, hours, leave, shift working, grades, discipline, **rationalisation, retrenchment, closure** · **TRIBUNAL HEARS BOTH; LABOUR COURT ONLY THE SECOND**

IR CODE REDESIGN ABOLISHED the **COURT OF INQUIRY** and the **LABOUR COURT**, dropped the **Board of Conciliation** · single **INDUSTRIAL TRIBUNAL of TWO MEMBERS** - one **JUDICIAL**, one **ADMINISTRATIVE** · **National Industrial Tribunal** retained · **Works Committee 100** · **Grievance Redressal Committee 20 workers, max 10**

AWARD published within **30 days** of receipt · **enforceable 30 days after publication** · binds **1 year**, then **2 months' notice** to terminate

SETTLEMENT conciliated settlement binds **ALL parties, all employed on the date of the dispute, AND FUTURE EMPLOYEES** · private settlement binds **ONLY the signatories**

CONCLUSION OF CONCILIATION (asked 2023) settlement → date the **memorandum is SIGNED** · no settlement → when the officer's report is **RECEIVED BY THE APPROPRIATE GOVERNMENT** (Board → when its report is **published**) · reference made during Board proceedings → **date of reference** · matters because the **strike ban runs during conciliation + 7 days**

s.9A 21 DAYS' NOTICE for change in **Fourth Schedule** conditions - includes **wages** and **provident fund contribution**

CONTINUOUS SERVICE 240 days = 1 year · **190** below ground in a mine · **120** and **95** for six months (**halve the yearly figures**) · lay-off, full-wage leave, employment injury and **maternity leave up to 12 weeks** all count

LAY-OFF employer **UNABLE** to give work - shortage of coal, power, raw material, accumulation of stocks, breakdown, calamity · **Chapter VA at 50+ workmen** · **50% of basic + DA** · **max 45 DAYS in 12 months** · **NOT payable** if he refuses alternative work at the same wages nearby, fails to present himself once a day, or the lay-off is caused by a strike elsewhere in the establishment

RETRENCHMENT s.25F - THREE CONDITIONS PRECEDENT 1 month's written notice with reasons or wages in lieu · **15 DAYS' AVERAGE PAY PER COMPLETED YEAR**, plus a part-year **IN EXCESS OF 6 MONTHS** · **notice to the appropriate Government** · non-compliance makes it **VOID** · s.25G **LAST IN FIRST OUT** unless reasons recorded · s.25H **re-employment preference** **THE THREE Fs** 25F retrenchment · 25FF transfer · 25FFF closure - *more Fs, more final* · all at **15 days per year** · closure **beyond the employer's control capped at 3 MONTHS' pay** **CHAPTER VA vs VB** VA = 50+, **PAY AND PROCEED** · VB = **PRIOR PERMISSION FIRST**, factory/mine/plantation, 100+ old Act, 300+ IR CODE · 25M lay-off permission · 25N retrenchment 3 months' notice + permission · 25O closure 90 days' notice + permission, **DEEMED GRANTED** if no decision in **60 DAYS**

ILLEGALITY contravention of notice or prohibition, or during conciliation or adjudication and the period after · **a strike in consequence of an ILLEGAL LOCK-OUT is NOT illegal** · **financial aid to an illegal strike is an offence**

UNFAIR LABOUR PRACTICES - FIFTH SCHEDULE, s.25T prohibits, s.25U penalises · **both sides listed** · employer: interference with unions, victimisation, recruiting during a legal strike, **keeping workers as badlis or casuals for years to deny permanent status** · workers: supporting an **illegal strike, gherao**, damage to property, refusing to bargain in good faith
WORKER RE-SKILLING FUND (new) 15 days' wages last drawn · credited within **10 DAYS** · paid to the worker within **45 DAYS** · **IN ADDITION TO retrenchment compensation** - compensation pays for the **past**, re-skilling funds the **future**

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.3 - THE NUMBERS THAT DECIDE THE QUESTIONS

LADDER Works Cttee **100** advisory · Conciliation Officer **14 days** · Board **2 months** · Court of Inquiry **6 months** · Labour Court / Tribunal / National Tribunal

2nd SCHEDULE = LABOUR COURT = individual + discipline · **3rd = TRIBUNAL** = collective + money · **Tribunal hears BOTH**

IR CODE killed the **Court of Inquiry** and the **Labour Court** · **Tribunal = 2 members, JUDICIAL + ADMINISTRATIVE**

AWARD publish in **30** · enforceable **+30** · binds **1 year** · terminate on **2 months' notice**

CONCILIATED SETTLEMENT BINDS FUTURE EMPLOYEES · **PRIVATE SETTLEMENT BINDS ONLY SIGNATORIES**

CONCLUSION signed memo · **report RECEIVED by Government** · date of reference · **strike ban = conciliation + 7 days**

s.9A = 21 DAYS (includes **PF contribution**)

CONTINUOUS SERVICE 240 / 190 · half them for six months: **120 / 95**

LAY-OFF 50% of basic + DA · **MAX 45 DAYS** · **Chapter VA at 50**

RETRENCHMENT 15 DAYS PER COMPLETED YEAR + 1 MONTH'S NOTICE + notice to Government · part-year counts only if **MORE than 6 months** · **exactly 6 months does NOT count**

25F retrench · **25FF transfer** · **25FFF closure** · closure beyond control **capped at 3 months**

CHAPTER VB = PERMISSION FIRST · **100 OLD, 300 CODE** · closure **90 days**, deemed granted after **60 days' silence**

FIFTH SCHEDULE = UNFAIR LABOUR PRACTICES (both sides)

RE-SKILLING FUND 15 days' wages · **credit 10 days** · **pay 45 days** · **IN ADDITION to compensation**

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F2.4 - Standing Orders and Workplace Discipline, which carries the other **100-to-300** threshold change and the **Model Standing Orders 2026** with their three Schedules for mining, manufacturing and services. After that, **F2.5** takes the whole wages group - Minimum Wages, Payment of Wages, Bonus and Equal Remuneration - consolidated into the Code on Wages.